AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

BB293

Financial Accounting in Context



MTA

2025-2026 / Summer Semester

11 – August – 2026

Version A

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Number of Exam Pages: 3 (including this cover sheet)	Time Allowed: 2 Hours

Instructions:

- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
- This is a **CLOSED** book examination. NO documents of any kind are allowed.
- You **MUST** answer the questions using only the answer booklets provided.
- You **MUST** return the examination paper together with your answer booklets.
- Do **NOT** write your answers in pencil except for graphs/sketches.
- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination.
- Students are allowed to use ***non-programmable*** calculators only (if needed).
- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question 1 (20 marks)

Funding is crucial for a business to grow, create new products, explore new markets, and manage unforeseen costs. Without enough capital, a company might find it difficult to run smoothly or stay competitive. Explain the various ways a company can obtain finance.

Question 2 (30 marks)

a. The IASB Conceptual Framework outlines the qualities that make financial information useful. It separates these qualities into two groups: fundamental qualitative characteristics and enhancing qualitative characteristics. Describe any three characteristics of useful financial information.

(15 marks)

b. A new company, Double Ltd, issued 10,000 £1.00 nominal value ordinary shares on 1 January 20X1. The issue price was £1.50. An interim dividend of 5p per ordinary share for 20X1 was proposed and paid during the year. On 31 December 20X1, the last day of the year, the company proposed a final ordinary dividend of 10p per share. This dividend was paid in January 20X2. 5,000 new ordinary shares were issued by Double Ltd on 1 February 20X2 for £2.00 per share. The nominal value of these shares was £1.00 per share. An interim dividend of 5p per ordinary share for 20X2 was proposed and paid in June 20X2. The profit for the year ending 31 December 20X1 was £100,000 and the profit for the year ending 31 December 20X2 was £120,000. The company has a December year-end.

Required

Show the share capital, share premium, and retained earnings reserve sections of the statement of changes in equity for Double Ltd for the year ended 31 December 20X1 and for the year ended 31 December 20X2.

(15 marks)

Question 3 (20 marks)

A new company, Start Ltd, issues 6,000 ordinary shares with a nominal value of £1 issued at a price of £8 and 15,000 preference shares with a nominal value of 50p, issued at a price of £3.50.

Required

i. Calculate the ordinary share capital and premium, and the preference share capital and premium for Start Ltd

ii. Show how the ordinary and preference share capital and ordinary and preference share premium are recorded in the equity section of the statement of financial position and in the statement of changes in equity for Start Ltd at the end of the first year of trading.

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Question 4 (30 Marks)

Below is Brighton Ltd's unadjusted trial balance dated December 31, 20X8.

Account name	Dr (£)	Cr (£)
Sales revenue		948,730
Inventory at 1 January 20X8	63,270	
Purchases	227,000	
Distribution costs	94,200	
Administrative expenses	207,000	
Insurance expenses	90,000	
Rent expenses	78,000	
Office equipment	217,200	
Accumulated depreciation – office equipment		65,160
Vehicles	348,000	
Accumulated depreciation – vehicles		125,280
Intangible assets	143,100	
Trade receivables	249,000	
Allowance for receivables (1 Jan 20X8)		13,650
Trade payables		370,350
Cash	376,550	
10% Bonds		99,000
Ordinary shares (£1 nominal value)		100,000
Ordinary share premium		13,000
Ordinary interim dividends paid	5,850	
Irredeemable preference shares (£1 nominal value)		200,000
10% Preference dividends paid	2,000	
Retained earnings at 1 January 20X8		166,000
Total	**2,101,170**	**2,101,170**

The following notes are relevant:

1. Closing inventory at 31 December 20X8 is £138,000.
2. Irrecoverable receivables to be written off amount to £6,000.
3. The allowance for receivables is to be set at 8% of net receivables at the financial year end.
4. Day Ltd depreciates non-current assets as follows:
    - office equipment at 15% per annum on a straight-line basis
    - vehicles at 20% per annum on a reducing-balance basis

No depreciation has been charged for the year.

5. Rent expense is included in Day Ltd.'s trial balance covering the period 1 January 20X8 to 31 October 20X8. Rent payable for the period 1 November 20X8 to 31 January 20X9 is expected to be £12,000 and will be paid in January 20X9.
6. Insurance expense relates to the period from 1 January 20X8 to 31 March 20X9.
7. Day Ltd allocates expenses as follows:
    - Depreciation on vehicles is allocated to distribution costs.

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- 80% of the rent expense is to be allocated to administrative expenses, and 20% of the rent expense is to be allocated to distribution costs.
- All other expenses are to be included in administrative expenses.

8. For the financial year ended 31 December 20X8, corporation tax is estimated to be £43,248
9. The audit fee relating to the year ended 31 December 20X8 is estimated to be £12,600 and has not been paid at the year-end.
10. A full year's bond interest is to be accrued.
11. A provision of £24,000 is required for expenses relating to warranties which are likely to arise in 20X9.
12. Impairment of £20,000 is to be accounted for in relation to the intangible asset during the year.

Required

1. Prepare a statement of financial performance for the year ended 31 December 20X8
2. Prepare a statement of financial position as at 31 December 20X8

End of Questions

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